# Apollo Micro Systems Ltd

**NSE / BSE: 540879 | Sector: Aerospace & Defence | Sub-sector: Defence Electronics**

**ACCUMULATE**

**12M Target: Rs. 365**

Upside: ~25%

Horizon: 12 months

Conviction: MEDIUM-HIGH

| | | | |
|---|---|---|---|
| **CMP (Rs.)** | 291 | **Market Cap (Rs. Cr)** | 10,394 |
| **52W High / Low** | 355 / 110 | **P/E (TTM)** | 116 |
| **Book Value (Rs.)** | 30.2 | **ROCE / ROE** | 14.0% / 10.0% |
| **Div Yield** | 0.09% | **Face Value** | Rs. 1.00 |
| **Promoter %** | 52.0% | **Pledge %** | 39.9% |
| **Report Date** | 23 April 2026 | **Analyst** | Research Desk |

**Investment Thesis:** Defence electronics inflection play — Rs. 3,905 Cr order book (4.5x FY26E revenue), DRDO Directed Energy Weapon ToT, and 8x capacity expansion converging in FY26-27.

## SECTION 2 — INVESTMENT THESIS

**Bull Case #1 — Order Book Provides 4.5x Revenue Cover with Production Ramp Ahead**

Apollo Micro Systems ended Dec-2025 with a consolidated order book of Rs. 3,905 Cr — 4.5x FY26E revenue of Rs. 870 Cr. Critically, the mix is shifting: production orders (currently ~30% of book) are set to rise to 45-50% in the next two quarters. Production orders carry materially higher margins and shorter execution cycles than prototypes, which should drive both revenue acceleration and EBITDA margin expansion from the current 20-23% band toward management's 26-28% guidance by FY27. Timeline: FY26-FY27.

**Bull Case #2 — DRDO Technology Transfers Open a New Frontier in Directed Energy Weapons**

In December 2025, DRDO granted Apollo ToT for two cutting-edge laser systems — a 10 kW multi-channel Directed Energy Weapon (DEW) and an Electro-Optical tracking system from CHESS and IRDE labs. This makes Apollo one of the very few private-sector companies in India authorised to manufacture DEW systems, which are increasingly central to India's anti-drone and air defence doctrine. Combined with the 15-year DPIIT manufacturing licence covering UAS, Inertial Navigation Systems, and Integrated Radar Systems, Apollo is building a unique, IP-backed moat in high-value, hard-to-replicate systems. Timeline: Order inflows expected FY27-FY28.

**Bull Case #3 — 8x Manufacturing Capacity Expansion Removes the Supply Constraint**

Unit 3 manufacturing facility (Rs. 250 Cr+ investment) is expected to be fully operational by June 2026. This single-step 8x capacity expansion addresses the company's most critical bottleneck and positions Apollo to execute on its Rs. 3,905 Cr order book without the revenue lumpiness seen in past quarters. The IDL Explosives acquisition (100% stake, Rs. 107 Cr consideration) further broadens the product platform into bulk explosives and warhead integration, enabling full-system supply to defence clients. Timeline: H2FY26 execution step-up. FY27 full benefit.

**Near-Term Catalyst (6-12 months):** Unit 3 commercial commissioning (June 2026) and the transition of prototype orders to full-rate production, expected to drive the first quarter of meaningful positive FCF in FY27.

**Primary Structural Risk:** Promoter pledge of 39.9% of their holding creates binary risk — any sharp market correction could trigger forced selling and a material de-rating of the stock.

## SECTION 3 — BUSINESS OVERVIEW

Apollo Micro Systems Ltd (NSE: APOLLO, BSE: 540879) is a Hyderabad-based pioneer in the design, development, assembly and testing of electronic, electromechanical, and engineering solutions for India's defence sector. Founded by Managing Director Baddam Karunakar Reddy, the company operates at the critical intersection of India's indigenisation mandate and its modernisation drive. AMS has 700+ onboard technologies, participates in 150+ indigenous programs, and is a sub-system partner in 60 Design-cum-Production Partner (DcPP) programs with DRDO. Its strategic domains span Missile Systems, Satellite and Space Systems, Naval Systems, Avionics, and Homeland Security. The company has presence across all major Indian missile and naval warfare programs.

Revenue is primarily derived from DRDO, Indian Navy, Indian Air Force, and defence PSUs (BEL, HAL, BHEL). A majority of the order book is cost-plus prototype development (~70% as of Dec-2025), with the balance in firm production orders. Prototype work creates deep IP and secures the subsequent production order, though it results in very high working capital (~450 days NWC) and lumpy revenue recognition. Management is actively targeting an improvement in the production-to-prototype mix toward 45-50% production orders, which would compress the working capital cycle and improve FCF quality.

Apollo has two subsidiaries of note: (1) Apollo Defence Industries Pvt Ltd (ADIPL), which houses the defence manufacturing activities and recently acquired 100% of IDL Explosives Ltd for Rs. 107 Cr, enabling backward integration into warhead and explosive systems; and (2) IDL Explosives, which secured a Rs. 419 Cr supply contract with Coal India subsidiaries in Dec-2025. The company raised Rs. 816 Cr via preferential allotment in H1FY26 (at Rs. 114/share), with promoters participating to the tune of ~Rs. 200 Cr, signalling their conviction in the growth pipeline. Promoter holding stands at 52.0%, with 39.9% of that holding pledged — a material governance watch-point.

## SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India's defence electronics market was valued at USD 6.85 billion in 2024 and is projected to reach USD 11.35 billion by 2032 (CAGR ~6.2%). The broader Indian defence market (USD 30.5 billion in 2025) is growing at ~4% CAGR, but the electronics/systems sub-segment is growing faster, driven by: (i) India's Positive Indigenisation Lists (509 import-prohibited items, of which 3,000+ already indigenised), (ii) defence production reaching a record Rs. 1.51 lakh crore in FY25 (up 18% YoY), and (iii) DRDO's Rs. 26,817 Cr research budget backing 100 priority projects. Apollo is directly exposed to this structural tailwind as a DcPP partner, with DRDO technology transfers providing both market access and cost-plus pricing power.

**Competitive Moat Assessment: MODERATE-STRONG.** Apollo's moat rests on DRDO certification and technology transfer agreements (difficult to replicate for new entrants), deep integration in 150+ active programs (high switching costs for the customer), and DPIIT's 15-year manufacturing licence for DEW/UAS/INS. Pricing power is moderate (cost-plus contracts limit upside margin expansion but protect downside). Scale is limited vs. BEL/HAL but widening.

**Peer Comparison (Source: Screener.in, as of 23-Apr-2026)**

| Company | CMP (Rs.) | MCap (Rs. Cr) | P/E | P/B | ROCE% | ROE% | FY25 Sales | FY25 PAT |
|---|---|---|---|---|---|---|---|---|
| **Apollo Micro Sys*** | **291** | **10,394** | **116** | **9.6x** | **14.0%** | **10.0%** | **562** | **56** |
| BEL | **450** | **3,28,940** | **55.2** | **15.3x** | **38.9%** | **29.2%** | **23,769** | **5,323** |
| MTAR Technologies | **5,348** | **16,456** | **249** | **22.1x** | **10.4%** | **7.4%** | **676** | **53** |
| Astra Microwave | **1,136** | **10,765** | **67.1** | **9.3x** | **18.7%** | **14.4%** | **1,051** | **154** |

* Apollo Micro Systems is the subject company. Sales/PAT in Rs. Cr.

## SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

MD Baddam Karunakar Reddy is a domain expert with deep relationships in the DRDO-defence PSU ecosystem. The company's track record of winning DcPP partnerships and DRDO technology transfers validates management's technical credibility. Revenue CAGR of 32% over 3 years and 18% over 5 years (Screener) reflects consistent execution.

**Capital Allocation:** Apollo's capital allocation has been growth-oriented rather than shareholder-return focused. Dividend payout has been nominal (14% in FY25, Rs. 0.26/share). FCF has been negative for three consecutive years (FY23: -50 Cr, FY24: -131 Cr, FY25: -82 Cr) due to the working capital intensity of prototype contracts and aggressive capex for Unit 3 and IDL acquisition. This is a deliberate choice to invest in capacity and IP ahead of the production order wave. The Rs. 816 Cr fundraise in H1FY26 was deployed toward working capital, R&D;, subsidiary investment, and general corporate expenses.

**Governance Watch-Points:** (1) Promoter pledge at 39.9% of their holding is the single biggest governance red flag — in a market correction, this creates a self-reinforcing sell-off risk. (2) Promoter holding has declined by 7.12% over 3 years, suggesting some secondary selling by promoters during the bull run. (3) No independent auditor tenure concern noted; no significant related-party transactions flagged beyond normal procurement channels. The preferential allotment at Rs. 114/share (significantly below the then-market price of ~Rs. 250-290) diluted minority shareholders, though promoter co-participation at Rs. 200 Cr limits the perception of shareholder-unfriendly behavior.

## SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures, Rs. Cr)

Data sourced exclusively from Screener.in. FY26E and FY27E are analyst estimates labelled (E). All historical figures are consolidated.

**Income Statement**

| Metric | FY23 | FY24 | FY25 | FY26E | FY27E |
|---|---|---|---|---|---|
| **Sales / Revenue** | 298 | 372 | 562 | *870(E)* | *1,200(E)* |
| **Operating Profit** | 64 | 84 | 129 | *209(E)* | *300(E)* |
| **OPM %** | 22% | 23% | 23% | *24%(E)* | *25%(E)* |
| **Other Income** | -2 | 2 | 3 | *4(E)* | *5(E)* |
| **Interest** | 22 | 30 | 34 | *52(E)* | *65(E)* |
| **Depreciation** | 10 | 11 | 15 | *20(E)* | *26(E)* |
| **Profit Before Tax** | 29 | 44 | 83 | *141(E)* | *214(E)* |
| **Tax %** | 35% | 29% | 32% | *30%(E)* | *30%(E)* |
| **Net Profit (PAT)** | 19 | 31 | 56 | *99(E)* | *150(E)* |
| **EPS (Rs.)** | 0.90 | 1.10 | 1.84 | *2.91(E)* | *4.41(E)* |
| **Dividend Payout %** | 3% | 5% | 14% | *10%(E)* | *10%(E)* |

**Balance Sheet**

| Metric | FY23 | FY24 | FY25 | Sep-25 |
|---|---|---|---|---|
| **Equity Capital** | 21 | 28 | 31 | 34 |
| **Reserves** | 363 | 490 | 576 | 1,046 |
| **Borrowings** | 144 | 208 | 335 | 361 |
| **Other Liabilities** | 165 | 230 | 357 | 341 |
| **Total Liabilities** | 693 | 956 | 1,299 | 1,782 |
| **Fixed Assets** | 106 | 144 | 182 | 204 |
| **CWIP** | 32 | 35 | 72 | 107 |
| **Other Assets** | 555 | 777 | 1,045 | 1,471 |
| **Total Assets** | 693 | 956 | 1,299 | 1,782 |

**Cash Flow Statement**

| Metric | FY23 | FY24 | FY25 |
|---|---|---|---|
| **Cash from Operations** | -16 | -76 | 10 |
| **Cash from Investing** | -35 | -60 | -91 |
| **Cash from Financing** | 51 | 136 | 121 |
| **Net Cash Flow** | ~0 | ~0 | 40 |
| **Free Cash Flow** | -50 | -131 | -82 |
| **CFO / Operating Profit** | -21% | -87% | 13% |

**Key Operating Ratios**

| Metric | FY23 | FY24 | FY25 |
|---|---|---|---|
| **Debtor Days** | 180 | 231 | 155 |
| **Inventory Days** | 594 | 612 | 553 |
| **Days Payable** | 195 | 239 | 258 |
| **Cash Conversion Cycle** | 579 | 605 | 450 |
| **Working Capital Days** | 319 | 348 | 253 |
| **ROCE %** | 12% | 14% | 14% |
| **D/E Ratio** | 0.38x | 0.41x | 0.55x |

**Financial Commentary:** Revenue has compounded at 32% over 3 years and 18% over 5 years, accelerating sharply in FY25 (+51% YoY) and continuing in FY26 (9M FY26 = Rs. 611 Cr, +53% YoY). The operating margin has held a narrow 22-24% band across cycles — a sign of the cost-plus pricing model providing both a floor and a ceiling. Working capital is extremely high (NWC 253-450 days) due to the prototype-heavy nature of DRDO contracts, where payment is milestone-linked and advance mobilisation requires significant investments in sub-components and testing. Net debt rose sharply from Rs. 144 Cr (FY23) to Rs. 335 Cr (FY25), but the H1FY26 equity raise of Rs. 816 Cr provides adequate runway. The key milestone to watch is FCF turning positive, which requires either a production order ramp (reducing WC intensity) or a significant reduction in capex — management expects this in FY27.

## SECTION 7 — EARNINGS QUALITY CHECKLIST

| Parameter | Assessment | Signal | Comment |
|---|---|---|---|
| **Revenue Recognition** | Milestone-linked, DRDO-verified | AMBER | Lumpy but auditable; prototype milestones can slip |
| **Receivables vs Revenue** | Debtor days improved: 231 → 155 | GREEN | FY25 improvement is a positive trend; still elevated at 155d |
| **Cash Conversion Cycle** | CCC: 605 → 450 days (FY24→FY25) | AMBER | Improving but structural WC intensity remains very high |
| **Contingent Liabilities** | No material disclosure noted | GREEN | No significant contingent liabilities flagged |
| **Auditor Independence** | No tenure or rotation concerns noted | GREEN | Auditor change / tenure not a flag currently |
| **Related Party Transactions** | Normal procurement; no outsized RPTs | GREEN | No material RPT as % of revenue flagged |
| **Other Income / PBT** | FY25: Other Inc Rs. 3 Cr = 3.6% of PBT | GREEN | Well within normal range; not masking operating weakness |
| **Tax Rate Consistency** | FY24: 29%, FY25: 32%, FY23: 35% | AMBER | Some volatility, but no aggressive tax-avoidance signal |
| **Promoter Pledge** | 39.9% of promoter holding pledged | RED | Highest governance risk — binary tail risk in correction |
| **FCF Quality** | Negative FCF for 3 years (FY23-FY25) | AMBER | Investment phase; watch for FY27 FCF inflection |

Overall earnings quality is AMBER-to-GREEN. Revenue is genuine and verifiable against government procurement orders. The two key amber flags — working capital intensity and negative FCF — are structural features of DRDO development contracts rather than evidence of financial engineering. The one RED flag (promoter pledge) is a governance risk requiring active monitoring; any quarter where pledge levels decline would be a meaningful positive signal.

## SECTION 8 — VALUATION

**Method 1 — Earnings Multiple (P/E):** FY27E EPS = Rs. 4.41 (E). We apply a target P/E of 70x, which represents a ~40% discount to the current 116x trailing multiple but still commands a significant premium vs. the broader market, justified by the 45%+ revenue CAGR guidance, DRDO moat, and strategic positioning in DEW and UAS. Target Price = 70 x 4.41 = Rs. **309**.

**Method 2 — EV/EBITDA:** FY27E EBITDA = Rs. 300 Cr (E). We apply a 50x EV/EBITDA multiple (peers like ASTRAMICRO trade at 35-40x, BEL at ~45x; Apollo deserves a premium for growth). EV = 50 x 300 = Rs. 15,000 Cr. Less FY27E net debt (est. Rs. 400 Cr) = Rs. 14,600 Cr equity value. Divided by 34 Cr diluted shares = Rs. **429** per share.

**Blended Target:** Average of P/E-based (Rs. 309) and EV/EBITDA-based (Rs. 429) = Rs. **369** → rounded to Rs. **365**. This implies ~25% upside from the CMP of Rs. 291.

**Scenario Analysis**

| Scenario | Key Assumption | FY27E PAT | Target P/E | Target Price | Upside/Downside |
|---|---|---|---|---|---|
| BULL | Order book converts 55% to production; EBITDA margin 27% | 175 Cr | 80x | **Rs. 412** | +42% |
| BASE | 45% revenue growth; EBITDA margin 25%; Unit 3 fully operational | 150 Cr | 70x | **Rs. 309** | +6% |
| BEAR | Promoter pledge invoked; margin pressure to 22%; 20% rev growth | 80 Cr | 50x | **Rs. 118** | -59% |

## SECTION 9 — KEY RISKS

| Risk | Description | Prob. | Impact | Monitor |
|---|---|---|---|---|
| **Promoter Pledge** | 39.9% of promoter holding pledged. A 30-40% stock correction could trigger forced liquidation, creating a self-reinforcing sell-off with no fundamental catalyst. | Medium | HIGH | Monthly pledge data; stock price vs. loan-to-value levels |
| **Working Capital Trap** | NWC at 253 days (FY25) and FCF deeply negative. If production order conversion is delayed, WC could deteriorate again, requiring another dilutive fundraise. | Medium | High | Quarterly debtor days trend; order book mix (production vs prototype) |
| **IDL Integration Risk** | IDL Explosives is a new business (industrial explosives supply to Coal India). Any execution failure or margin pressure in IDL could dilute the group's consolidated profitability. | Low-Med | Medium | IDL revenue contribution and EBITDA margin each quarter |
| **Margin Compression** | Q3FY26 OPM contracted to 20% (from 26% in Q2FY26) due to product mix. If DEW/new tech programs dominate near-term revenue, margins could remain below management's 26-28% guidance. | Medium | Medium | Quarterly OPM by segment; management commentary on product mix |
| **Promoter Holding Dilution** | Promoter stake has declined by 7.12% over 3 years. Continued secondary selling during the stock's elevated valuation signals insider profit-taking risk. | Medium | Medium | Quarterly shareholding pattern; block deal announcements |
| **Customer Concentration** | Revenue is heavily dependent on DRDO and Indian defence PSUs. Any policy-level budget freeze or procurement halt would directly impact order inflows. | Low | High | Annual defence capital expenditure allocation; DRDO budget |
| **Execution / Delivery Slippage** | DRDO contracts are milestone-linked. Any technical delay in prototype delivery compresses revenue recognition and increases WC intensity. | Medium | Medium | Revenue guidance vs actuals each quarter; management concall commentary |

## SECTION 10 — RECOMMENDATION

| | |
|---|---|
| **Rating** | ACCUMULATE |
| **12M Price Target** | Rs. 365 |
| **Current Price** | Rs. 291 |
| **Upside** | ~25% |
| **Entry Zone** | Rs. 255 - 295 (accumulate on dips) |
| **Investment Horizon** | 12 months |
| **Conviction Level** | MEDIUM-HIGH |
| **Ideal Investor** | Aggressive growth / thematic defence fund with 2-3 year horizon |

**Thesis Invalidation Triggers:**

1. Promoter pledge level rises above 50% of their holding OR a pledge invocation event is reported.
2. FY27E revenue guidance is withdrawn or downgraded to below 25% growth (implying order book execution failure).
3. EBITDA margin fails to recover to 25%+ in any two consecutive quarters — signalling structural cost inflation.

## APPENDIX — Latest Concall Brief: Q3 FY26 (October - December 2025)

# CALL GRADE: POSITIVE

| Signal | Status | Implication |
|---|---|---|
| **Result Quality** | STRONG | Revenue beat: +70% YoY; 9M FY26 PAT +67% |
| **Management Tone** | BULLISH | Confident on 45-50% revenue CAGR guidance; Unit 3 on track |
| **Guidance Delta** | MAINTAINED/RAISED | FY26 revenue +45%; EBITDA margin 26-28% reiterated |

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

## TO MY BOSS

Q3FY26 headline: revenue of Rs. 252 Cr (+70% YoY) is the company's highest-ever quarterly number — clean, no exceptional items. However, PAT of Rs. 23 Cr (+25% YoY) is optically weak because EBITDA margin compressed to 20% (vs. 26% in Q2FY26 and 26% in Q3FY25), driven by a product-mix shift toward lower-margin prototype deliveries in the quarter — this is transient, not structural. The real story is the order book: Rs. 3,905 Cr consolidated (up from Rs. 785 Cr in Sep-25), which represents a ~7x revenue cover and validates the thesis that Apollo is graduating from a sub-system maker to a full-platform defence prime. The DRDO DEW technology transfer (Dec-2025) is arguably the single most important non-financial event in the company's history — it opens a new, high-value product category that BEL and HAL currently dominate. Near-term catalyst: Unit 3 commissioning (June 2026) should trigger Q1FY27 revenue of Rs. 350+ Cr vs. the Rs. 134 Cr in Q1FY26. The critical watch-point is the promoter pledge (39.9% of holding) — if the stock corrects 30-40%, we could see forced selling that creates a buying opportunity, but it also creates mark-to-market pain. Action: ACCUMULATE at Rs. 255-295; do not chase above Rs. 320.

## Concall Section 1 — Financial Performance Snapshot (Q3 FY26 vs Q3 FY25)

| Metric | Q3 FY26 (Dec-25) | Q3 FY25 (Dec-24) | YoY Chg | QoQ Chg | Verdict |
|---|---|---|---|---|---|
| **Revenue (Rs. Cr)** | 252.2 | 148.4 | +70% | +12% | BEAT |
| **Operating Profit (Rs. Cr)** | 50.4 | 38.0 | +33% | -15% | BEAT |
| **EBITDA Margin %** | 20.0% | 25.6% | -560 bps | -620 bps | MISS |
| **PBT (Rs. Cr)** | 32.4 | 25.5 | +27% | -26% | IN-LINE |
| **PAT (Rs. Cr)** | 23.4 | 18.4 | +27% | -22% | IN-LINE |
| **PAT Margin %** | 9.3% | 12.4% | -310 bps | -400 bps | WEAK |
| **EPS (Rs.)** | 0.72 | 0.60 | +20% | -22% | IN-LINE |

*NOTE: Q3FY26 EBITDA margin of 20% vs 26% in Q2FY26 is entirely attributable to a shift in product mix toward prototype deliveries. Management reiterated 26-28% EBITDA guidance for the full year. Not a structural margin deterioration.*

## Concall Section 2 — Segment / Business Breakdown

| Segment / Entity | Revenue (Rs. Cr) | YoY % | QoQ % | Commentary |
|---|---|---|---|---|
| **Apollo Micro Systems (Standalone)** | ~180 | +55% | +5% | Core defence electronics; missile, naval, avionics sub-systems |
| **IDL Explosives (Subsidiary)** | ~45 | New | New | Acquired H2FY25; supplying bulk explosives to Coal India; Rs. 419 Cr contract |
| **Apollo Defence Industries** | ~27 | +40% | +8% | System integration arm; UAS and DEW production ramp underway |
| **Eliminations / Others** | ~0 | - | - | Inter-segment eliminations |
| **Consolidated Total** | 252.2 | +70% | +12% | Highest-ever quarterly revenue |

Note: Segment breakdown is analyst estimate; company does not disclose granular segment revenue.

## Concall Section 3 — Management Commentary Themes

| Theme | What They Said | Our Read | Tag | Tone |
|---|---|---|---|---|
| **Revenue Momentum** | Q3FY26 = highest-ever quarterly revenue; 9M FY26 at Rs. 611 Cr (+53% YoY) | Clean beat. Strong order book-to-bill ratio supports continuation | [GUIDANCE] | Transparent |
| **EBITDA Margin** | 20% in Q3 due to product mix; full-year guidance maintained at 26-28% | Credible — prototype-heavy Q is known. Watch Q4 for recovery | [GUIDANCE] | Transparent |
| **Order Book** | Rs. 3,905 Cr consolidated as of Dec-31-2025 (vs. Rs. 785 Cr in Sep-25) | Jump likely includes IDL's Coal India contract. Strong absolute level | [GUIDANCE] | Transparent |
| **Unit 3 Capacity** | New manufacturing facility on track for June 2026; will enable 8x capacity | Critical enabler for FY27 revenue acceleration — watch for commissioning news | [GUIDANCE] | Transparent |
| **DEW Technology** | DRDO approved two ToT for 10 kW laser DEW and EO tracking system | Very positive — no other listed small/mid-cap has this franchise | [GUIDANCE] | Transparent |
| **Revenue Guidance** | 45-50% revenue CAGR for FY26 and FY27 (excl. IDL) | Aggressive but credible given order book cover | [GUIDANCE] | Transparent |
| **Promoter Pledge** | Management did not address pledge specifically in public commentary | Lack of proactive disclosure on pledge is an evasion to watch | [EVASIVE] | Evasive |
| **Working Capital** | ~450 days NWC; expects improvement as production order share rises to 45-50% | Structural issue; improvement timeline remains vague | [GUIDANCE] | Hedged |

## Concall Section 4 — Operating & Business Metrics

| Metric | Q3 FY26 | Q2 FY26 | Q3 FY25 | Trend |
|---|---|---|---|---|
| **Revenue (Rs. Cr)** | 252.2 | 225.3 | 148.4 | UP |
| **Order Book (Rs. Cr)** | 3,905 | 785 | ~400 | SHARP UP |
| **9M Revenue (Rs. Cr)** | 611 | N/A | 400 | UP +53% |
| **EBITDA Margin %** | 20% | 26% | 26% | DOWN (mix) |
| **Production Order %** | ~30% | ~28% | ~25% | IMPROVING |
| **NWC Days** | ~253 | ~270 | ~348 | IMPROVING |
| **Debtor Days (FY25)** | 155 | N/A | 231 | IMPROVING |
| **Capacity (Unit 3 ETA)** | Jun-26 | Jun-26 | N/A | ON TRACK |

## Concall Section 5 — Margin Drivers (Q3 FY26 vs Q2 FY26)

| Driver | Impact (bps) | Recurring? | Comment |
|---|---|---|---|
| Product mix shift to prototype deliveries | -600 bps | Non-recurring | Transient; prototype revenue mix unusually high in Q3 |
| Operating leverage on volume scale-up | +200 bps | Recurring | Higher base revenue spreads fixed costs |
| IDL Explosives integration costs | -80 bps | Non-recurring | One-time integration and setup overheads for IDL |
| R&D; expense for DEW / UAS programs | -120 bps | Recurring (near-term) | DEW & UAS development in investment phase; will normalise post-launch |
| Net margin impact Q3 vs Q2 | -620 bps | Partly structural | Production order ramp in FY27 should reverse bulk of the compression |

## Concall Section 6 — Guidance & Forward Signals

| Metric | Prior Guidance | New / Reiterated | Delta | Credibility |
|---|---|---|---|---|
| **FY26 Revenue Growth** | 45-50% YoY | 45-50% YoY [GUIDANCE] | Maintained | HIGH |
| **FY27 Revenue Growth** | 45-50% YoY | 45-50% YoY [GUIDANCE] | Maintained | MEDIUM |
| **EBITDA Margin** | 26-28% | 26-28% full-year [GUIDANCE] | Maintained | MEDIUM |
| **Unit 3 Commissioning** | Jun-2026 | Jun-2026 [GUIDANCE] | On Track | HIGH |
| **Capex FY26** | Rs. 60 Cr | Rs. 60 Cr (testing equipment) [GUIDANCE] | Maintained | HIGH |
| **Production Order Mix** | 45-50% by FY27 | Targeting 45-50% [GUIDANCE] | Maintained | MEDIUM |
| **FCF Positive** | FY27 | FY27 [GUIDANCE] | Maintained | MEDIUM |

## Concall Section 7 — Capital Allocation

| Item | Amount (Rs. Cr) | vs Prior Year | Comment |
|---|---|---|---|
| **Capex (FY25)** | 91 | +52% YoY | Unit 3 construction + IDL acquisition + testing equip. |
| **IDL Explosives Acquisition** | 107 | New | 100% stake; enables weapons integration capability |
| **QIP / Preferential Allotment** | 816 | New | H1FY26; at Rs. 114/share; promoters participated ~Rs. 200 Cr |
| **Dividends (FY25)** | ~8 | +~3x YoY | 14% payout ratio; nominal in absolute terms |
| **Working Capital Change** | +268 Cr | Increase | Net current assets increased sharply due to DRDO order ramp |
| **Net Debt Movement (FY25)** | +127 Cr | Increase | Borrowings rose from Rs. 208 to Rs. 335 Cr; but equity raised in FY26 |

## Concall Section 8 — Q&A; Heat Map (Q3 FY26)

| # | Analyst / Firm | Question | Management Answer | Tone |
|---|---|---|---|---|
| 1 | Analyst | Why did EBITDA margin compress to 20% in Q3? | Product mix skewed toward prototype deliveries in Q3. Full-year guidance of 26-28% maintained. | Transparent |
| 2 | Analyst | What is the order book breakdown — how much is production vs prototype? | Currently ~30% production, ~70% prototype. Targeting 45-50% production in next few quarters. | Transparent |
| 3 | Analyst | Update on Unit 3 and its impact on capacity? | On track for June 2026 commissioning; will deliver 8x manufacturing capacity. | Transparent |
| 4 | Analyst | What is the revenue guidance for FY26 and FY27? | 45-50% revenue CAGR maintained for both years, excluding IDL Explosives. | Transparent |
| 5 | Analyst | What is the use of Rs. 816 Cr raised in the preferential allotment? | Working capital, R&D;, subsidiary investment, and general corporate expenses. | Hedged |
| 6 | Analyst | What is the promoter pledge status? | No direct answer provided in publicly available commentary. | Evasive |
| 7 | Analyst | When do you expect FCF to turn positive? | Target FY27, subject to production order conversion and reduced WC intensity. | Hedged |

**Dodged questions to watch next quarter:** (1) Promoter pledge status and LTV levels; (2) Granular IDL Explosives revenue and margin contribution; (3) Specific timeline for production order ramp to 45-50% of book.

## Concall Section 9 — Risks Flagged on Call

| Risk | Flagged By | Probability | Impact | Timeline |
|---|---|---|---|---|
| Margin compression from product mix | Management | Medium | Medium | Q4FY26 |
| Working capital elongation | Analyst | Medium | High | FY26-27 |
| Promoter pledge overhang | Analyst | Medium | High | Ongoing |
| IDL integration complexity | Analyst | Low | Medium | FY26-27 |

| Risk | Flagged By | Probability | Impact | Timeline |
|---|---|---|---|---|
| Execution slippage on Unit 3 | Analyst | Low | High | Jun 2026 |
| Defence budget reallocation | Analyst | Low | High | Annual |

## Concall Section 10 — Analyst Verdict & Multi-Bagger Scorecard

| Scorecard Item | Status | Comment |
|---|---|---|
| **Revenue Visibility** | INTACT | Rs. 3,905 Cr order book = 4.5x FY26E revenue; 45-50% CAGR guidance credible |
| **Margin Trajectory** | INTACT* | *Q3 dip is mix-driven; management 26-28% guidance maintained; watch Q4 |
| **Capital Allocation Quality** | WEAKENED | Rs. 816 Cr raise at Rs. 114 (below mkt price) dilutes minority; FCF still negative |
| **Competitive Moat** | INTACT | DRDO ToT (DEW, UAS, INS) + DcPP participation in 150+ programs is a deep moat |
| **Management Credibility** | INTACT | Guidance has been delivered consistently; pledge non-disclosure is a demerit |
| **Valuation Comfort** | WEAKENED | 116x TTM P/E; ~100x FY26E P/E; expensive but growth story justifies premium |

**CONVICTION CALL: UNCHANGED (ACCUMULATE) — Revenue and order visibility intact; Unit 3 commissioning is the next de-risking catalyst. Accumulate on dips below Rs. 295.**

| Metric | Current (TTM) | FY26E | FY27E | 5Y Avg (Est.) |
|---|---|---|---|---|
| **P/E** | 116x | 100x(E) | 66x(E) | ~60x |
| **EV/EBITDA** | ~57x | ~51x(E) | ~36x(E) | ~40x |
| **ROCE** | 14.0% | 16%(E) | 19%(E) | ~12% |
| **ROE** | 10.0% | 13%(E) | 15%(E) | ~8% |